

outperform. Our intuition for the extrapolation of trends makes the impact of mean reversion on business results a mystery to most investors. It is this unusual contrast between the statistical likelihood of mean reversion—it's the probable outcome—and the fact that the market prices securities as if it's a remote possibility, that keeps deep value investing so profitable, and interesting. The nuances of mean reversion can make deep value seem a little “inside baseball” for most investors. In the following chapters we explore several examples of practitioners recognizing the conditions for mean reversion, and employing deep value strategies to capitalize on it.

Notes

1. Yvonne van Dongen. *Brierley: The Man Behind The Corporate Legend*. (Auckland: Penguin Books (NZL) Ltd) 1990.
2. Ibid.
3. All conversions are from data on the *Reserve Bank of New Zealand* “Inflation Calculator” Extracted November 2013. Available at http://www.rbnz.govt.nz/monetary_policy/inflation_calculator.
4. van Dongen, 1990.
5. Ibid.
6. Ibid.
7. Ibid.
8. Ibid.
9. Ibid.
10. Ibid.
11. Ibid.
12. Ibid.
13. Ibid.
14. Ibid.
15. Ibid.
16. Ibid.
17. Ibid.
18. Ibid.
19. Ibid.
20. Ibid.
21. Ibid.
22. Ibid.
23. Ibid.
24. Ibid.
25. Ibid.
26. Ibid.
27. Ibid.
28. Ibid.
29. Ibid.
30. Ibid.